

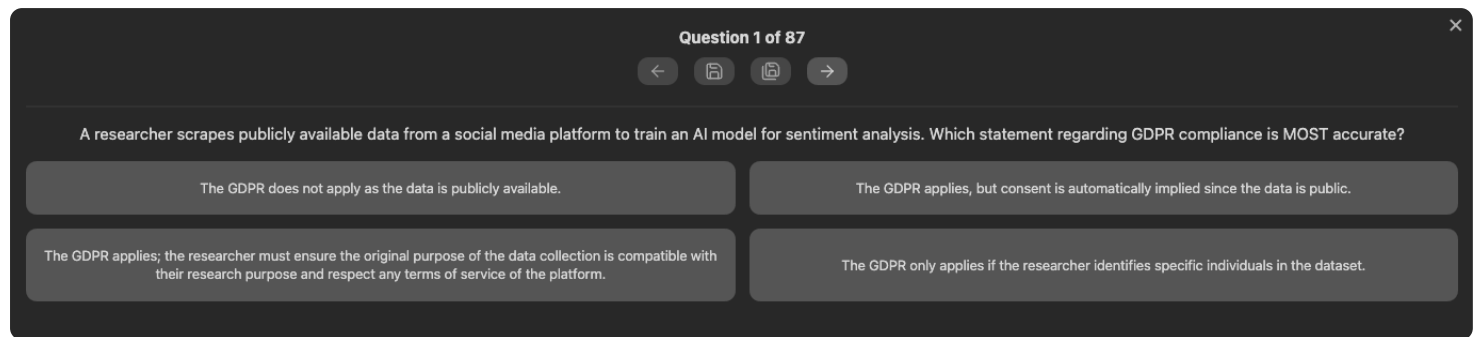
Flashcards AI and Law

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These notes are based on my personal notes of the AI and Law I lecture of JKU in WS 24. The questions and answers are AI generated and might not be 100% accurate.

The objective of these flashcards is to identify weak spots and to recapitulate the lecture's content.

By using the "Quiz Generator" plugin in Obsidian, an interactive window for the questions can be opened (Command: Quiz Generator: Open quiz from active note).



Contract Law

1. Definition of a Contract

② Which of the following BEST describes a contract?

- a) A verbal agreement between two parties.
- b) A written document outlining a business transaction.
- c) A legally enforceable promise between two or more parties to act in a specified way.
- d) A set of rules governing social interactions.

✓ Answer

c) A legally enforceable promise between two or more parties to act in a specified way. A contract requires a promise, specific actions, and legal remedies for breach. While often written, verbal contracts can be binding in some cases.

2. Contract Law Harmonization in the EU

② Is contract law fully harmonized across all EU Member States?

✓ Answer

False. While there are sector-specific harmonizations (e.g., consumer rights, e-commerce), a comprehensive, harmonized contract law across all EU members does not exist. General contract formation, interpretation, and validity are still subject to national laws.

3. Offer vs. Invitation to Treat

🕒 "50% off all winter coats - this weekend only!" This statement is most likely a(n):

- a) Offer
- b) Acceptance
- c) Invitation to make an offer
- d) Counteroffer

✓ Answer

c) Invitation to make an offer. It lacks the specific details (e.g., specific coat, quantity) and direct address to a specific person required for a legally binding offer. It encourages customers to make offers to buy specific coats.

4. Acceptance of a Contract

🕒 Silence can be considered acceptance of a contract.

✓ Answer

False. Generally, silence or inactivity does not constitute acceptance. Acceptance must be a clear manifestation of assent to the offer's terms, either through words or conduct. There are exceptions where prior dealings or specific circumstances imply acceptance through silence.

5. Online Contract Requirements - Consumer Rights

🕒 Which is NOT a requirement for online contracts under the Consumer Rights Directive?

- a) Clear identification of the trader.
- b) Total price, including all taxes.
- c) Automatic contract formation without explicit user action.
- d) Information about the right of withdrawal.

✓ Answer

c) Automatic contract formation without explicit user action. The directive mandates explicit acknowledgment of the payment obligation by the consumer, often through a clear "Buy Now" button, preventing unintended purchases.

6. Automated vs. Autonomous Contracts

🕒 A smart refrigerator that automatically orders groceries based on pre-programmed rules and user preferences is an example of:

- a) An autonomous contract.
- b) An automated contract.
- c) A traditional contract.
- d) No contract at all.

✓ **Answer**

b) An automated contract. The fridge operates based on pre-defined rules set by the owner, executing orders when certain conditions are met. It doesn't change the rules itself, distinguishing it from an autonomous contract.

7. Auto-formation of Contracts

② **Select all the essential requirements for successful auto-formation of contracts:**

- a) Mutual consent delegated to machines.
- b) Clear and understandable contract terms.
- c) Lawful content verifiable by the automated system.
- d) The ability of the system to learn and adapt contract terms.

✓ **Answer: Auto-formation requires that both parties agree to be bound by the machine's actions (delegated consent), that the terms are clear enough for both parties (or a reasonable person) to understand, and that the subject matter of the contract is legal. Learning and adapting terms are characteristic of autonomous, not automated, systems.**

- a)
- b)
- c)

8. Auto-execution and Smart Contracts

② **What is a major challenge to the widespread adoption of auto-executing smart contracts?**

- a) The speed of blockchain transactions.
- b) The difficulty of coding smart contracts.
- c) Ensuring compliance with consumer protection laws, such as the right to withdrawal.
- d) The high cost of implementing blockchain technology.

✓ **Answer**

c) Ensuring compliance with consumer protection laws, such as the right to withdrawal. Implementing features like a 14-day withdrawal period or reversing transactions on immutable blockchains presents significant challenges for auto-executing contracts.

9. Auto-enforcement of Contracts

② Under what condition is private auto-enforcement of a contract generally permissible?

- a) When it is technically feasible to enforce the contract automatically.
- b) When the aggrieved party has given prior consent to the specific enforcement action.
- c) When the contract involves a high monetary value.
- d) When the contract is governed by international law.

✓ Answer

b) When the aggrieved party has given prior consent to the specific enforcement action. Consent, either at the time of breach or beforehand with legal backing for self-help remedies, is crucial for legitimate auto-enforcement. The feasibility, value, or governing law are not the primary determining factors. There must also not be foreseeable damage.

AI Law in Europe

1. Previous AI Definition

② Which of the following is NOT a key characteristic of AI systems according to previous definitions?

- a) Adapting behavior based on environmental feedback.
- b) Always using symbolic rules for decision-making.
- c) Reasoning on knowledge derived from data.
- d) Perceiving their environment through data acquisition.

✓ Answer

b) Always using symbolic rules for decision-making. AI systems can use symbolic rules OR learn numeric models (e.g., machine learning). The definition encompasses a broader range of techniques.

2. Objectives of AI Regulation

② A primary objective of AI regulation in Europe is:

- a) To stifle innovation in the AI sector.
- b) To promote the development of AI systems that prioritize fundamental rights and safety.
- c) To establish a single, centralized authority to control all AI development.
- d) To ban all forms of AI that could potentially pose any risk to society.

✓ Answer

b) To promote the development of AI systems that prioritize fundamental rights and safety. The aim is to mitigate risks, protect rights, and foster trustworthy AI, not to hinder innovation or implement overly restrictive measures.

3. Limitations of Existing Legal Frameworks for AI

② The GDPR comprehensively addresses all legal challenges posed by AI systems.

✓ Answer

False. The GDPR primarily focuses on data protection and privacy. It does not cover areas like liability for AI-caused harm, defects in AI systems as products, or the ethical implications of AI beyond personal data processing.

4. The AI Act - Type of Legislation

② The AI Act is a:

- a) Directive.
- b) Regulation.
- c) Recommendation.
- d) Treaty.

✓ Answer

b) Regulation. This means it is directly applicable in all Member States without requiring national implementation, ensuring uniformity across the EU.

5. AI Act Definition of AI

② Which characteristic is central to the AI Act's definition of an AI system?

- a) The use of deep learning algorithms.
- b) The ability to operate with varying levels of autonomy and adapt after deployment.
- c) The requirement to be connected to the internet.
- d) The capacity to process only structured data.

✓ Answer

b) The ability to operate with varying levels of autonomy and adapt after deployment. Autonomy and adaptability, along with inference from input to influence environments, are key

differentiators in the AI Act's definition. The specific algorithm or data type used is less important.

6. Trustworthy AI Principles

② Which of the following is NOT a principle of trustworthy AI according to the AI Act?

- a) Transparency.
- b) Profit maximization.
- c) Human oversight.
- d) Non-discrimination.

✓ Answer

b) Profit maximization. While economic considerations may play a role in AI development, the core principles emphasize ethical and societal well-being: human agency, robustness, privacy, transparency, diversity/fairness, and societal/environmental well-being.

7. Applicability of the AI Act

② A researcher developing a novel AI algorithm for personal use in their home is subject to the AI Act.

✓ Answer

False. The AI Act exempts AI systems developed and used for purely private, non-professional purposes. It targets AI systems placed on the market or put into service within the EU.

8. AI Risk Categories

② An AI system used for real-time emotion recognition in a public school to monitor student engagement would likely be classified as:

- a) Unacceptable risk.
- b) High risk.
- c) Limited risk.
- d) Minimal risk.

✓ Answer

a) Unacceptable risk. Such a system intrudes on fundamental rights (e.g., privacy, freedom from surveillance) in a way that the AI Act deems unacceptable and is therefore prohibited.

9. High-Risk AI Systems - Requirements

🤔 Which of the following is NOT a requirement for high-risk AI systems under the AI Act?

- a) CE marking.
- b) Mandatory open-sourcing of the AI model.
- c) Risk management system.
- d) Human oversight.

✓ Answer

b) Mandatory open-sourcing of the AI model. The AI Act does not mandate open sourcing. It requires conformity assessments, technical documentation, risk management, transparency, human oversight, and CE marking, but not public disclosure of the source code.

10. Limited Risk AI Systems - Obligations

🤔 A company develops a chatbot for customer service. Under the AI Act, they must:

- a) Obtain a third-party conformity assessment before deploying the chatbot.
- b) Clearly inform users that they are interacting with an AI system.
- c) Implement a comprehensive risk management system.
- d) Ensure the chatbot can explain its reasoning process in detail.

✓ Answer

b) Clearly inform users that they are interacting with an AI system. Transparency is key for limited-risk systems. Users must be aware they are not interacting with a human unless it is obvious from the context. Conformity assessments and detailed explainability are not required for this risk category.

11. Penalties for AI Act Infringements

🤔 What is the maximum possible fine for violating the AI Act's prohibitions (e.g., deploying a prohibited AI system)?

- a) €10 million.
- b) €20 million or 4% of total worldwide annual turnover.
- c) €35 million or 7% of total worldwide annual turnover, whichever is higher.
- d) There are no fines specified in the AI Act.

✓ Answer

c) €35 million or 7% of total worldwide annual turnover, whichever is higher. The AI Act establishes substantial fines to ensure compliance, reflecting the potential severity of harm from

AI systems. The penalties for prohibited practices are significantly higher than for other infringements. For SMEs, it is "whichever is lower".

1. Scenario-Based Risk Categorization:

🔗 Consider the following scenarios and categorize the AI system involved as presenting unacceptable risk, high risk, or limited risk under the EU AI Act:

Scenario 1: An AI system analyzes social media posts to predict and identify individuals likely to commit violent crimes in the future.

Scenario 2: A chatbot is used by a bank to answer customer questions about account balances and transactions. It clearly identifies itself as a virtual assistant.

Scenario 3: An AI system is integrated into a medical device to automatically administer medication based on real-time patient data.

Scenario 4: A government uses an AI system to automatically assign social housing based on an individual's socioeconomic status and perceived "desirability" without human oversight.

✓ Answers:

Scenario 1: **Unacceptable Risk** (predictive policing based on social media raises serious ethical and rights concerns, potentially leading to discriminatory outcomes).

Scenario 2: **Limited Risk** (chatbot with clear identification; transparency requirements apply).

Scenario 3: **High Risk** (AI is a safety component of a medical device with potentially significant health consequences).

Scenario 4: **Unacceptable risk** (automated decision-making with significant impact on fundamental rights and potential for discrimination, lacking human oversight). Social scoring by governments is prohibited.

2. Defining Characteristics of Risk Categories:

🔗 Match the characteristic to the correct AI risk category under the EU AI Act:

Characteristics:

- a) Poses a clear threat to fundamental rights, often involving manipulation or exploitation.
- b) Requires transparency measures, such as informing users they are interacting with AI.
- c) Entails significant risks to health, safety, or fundamental rights, requiring strict conformity assessments.

Risk Categories:

1. Unacceptable Risk
2. High Risk
3. Limited Risk

✓ Answers:

- a)
- b)
- c)

3. True or False - Risk Category Classification

- ② An AI system that generates deepfakes but clearly watermarks the output as synthetic media falls under the "unacceptable risk" category of the AI Act.

✓ Answer

False. This would likely be classified as **limited risk**. The watermarking fulfills the transparency requirement for deepfakes, mitigating the risk of deception. Deepfakes are not automatically prohibited but require disclosure.

4. Impact on Fundamental Rights:

- ② Which risk category is MOST directly associated with potential violations of fundamental rights, such as the right to privacy, non-discrimination, and due process? Explain your answer.

✓ Answer

Unacceptable Risk. AI systems in this category are often those that directly infringe upon fundamental rights, either through intrusive surveillance, manipulation, exploitation, or discriminatory practices. While high-risk AI systems can also impact fundamental rights, unacceptable risk systems are inherently designed in a way that violates these rights and are therefore prohibited.

Data Protection Law

1. GDPR's Scope

- ② The GDPR applies to:

- a) Only companies located within the European Union.
- b) Any company processing the personal data of individuals residing in the EU, regardless of the company's location.
- c) Only companies that process sensitive health data.
- d) Only online businesses that collect data through websites.

✓ Answer

b) Any company processing the personal data of individuals residing in the EU, regardless of the company's location. The GDPR's jurisdiction is based on the location of the data subject, not the

data processor.

2. Definition of Processing

② Which action does NOT constitute "processing" under the GDPR?

- a) Storing personal data on a secure server.
- b) Thinking about how to use personal data for a marketing campaign.
- c) Collecting personal data through an online form.
- d) Deleting personal data after it is no longer needed.

✓ Answer

b) Thinking about how to use personal data for a marketing campaign. Processing involves concrete actions on data, not just thoughts or plans. All the other options involve operations performed on personal data.

3. GDPR and Extraterritoriality

② A US-based company with no physical presence in the EU offers a free mobile app to EU users. The app collects user location data. Does the GDPR apply?

✓ Answer

True. Yes, because the company is monitoring the behavior of individuals within the EU (tracking location data), the GDPR applies under the Minimum Contracts Principle, even without a direct commercial transaction.

4. Special Categories of Personal Data

② Which of the following is NOT considered a special category of personal data under the GDPR, requiring explicit consent for processing?

- a) Racial or ethnic origin.
- b) Religious beliefs.
- c) Email address.
- d) Genetic data.

✓ Answer

c) Email address. While an email address can be personal data, it is not considered a "special category" requiring higher protection. Special categories are those that are more sensitive and could lead to discrimination.

5. Valid Consent under GDPR

❓ A website has a pre-checked box for users to consent to receiving marketing emails. This constitutes valid consent under the GDPR.

✓ Answer

False. Pre-checked boxes do not demonstrate freely given, unambiguous consent. Consent must be an active, affirmative action by the user.

6. Controller vs. Processor

❓ A cloud storage provider storing customer data for a European e-commerce company is considered a:

- a) Controller
- b) Processor
- c) Data Protection Officer
- d) Data Subject

✓ Answer

b) Processor. The cloud provider processes data on behalf of the e-commerce company (the controller), which determines the purposes and means of processing.

7. Data Protection Impact Assessment (DPIA)

❓ When is a DPIA required?

- a) Always, regardless of the type of data being processed.
- b) Only when processing special categories of personal data.
- c) When a processing activity is likely to result in a high risk to the rights and freedoms of individuals.
- d) Only when a data breach has occurred.

✓ Answer

c) When a processing activity is likely to result in a high risk to the rights and freedoms of individuals. A DPIA is a proactive measure to assess and mitigate risks before processing begins, not a reactive measure after a breach.

8. Privacy by Design and Default

❓ Privacy by design means:

- a) Implementing the minimum necessary data protection measures after a product is launched.
- b) Considering data protection principles from the start of the design phase of a product or system.
- c) Ignoring data protection until a problem arises.
- d) Relying on users to manage their own privacy settings.

✓ Answer

b) Considering data protection principles from the start of the design phase of a product or system. Privacy by design is a proactive, not reactive, approach to data protection. It's about building data protection into the core of systems and products.

9. Rights of Data Subjects

② Which of the following is NOT a right granted to data subjects under the GDPR?

- a) Right to access their data.
- b) Right to have their data erased under certain circumstances.
- c) Right to be informed about how their data is being processed.
- d) Right to mandate the specific algorithms used to process their data.

✓ Answer

d) Right to mandate the specific algorithms used to process their data. While data subjects have significant control over their data, they don't have the right to dictate the specific technical methods used for processing.

10. Penalties for GDPR Violations

② What is the potential penalty for a company that violates the GDPR?

- a) A warning letter.
- b) Up to €20 million or 4% of the company's annual global turnover, whichever is higher.
- c) Up to €10 million or 2% of the company's annual national turnover, whichever is lower.
- d) Temporary suspension of business operations.

✓ Answer

b) Up to €20 million or 4% of the company's annual global turnover, whichever is higher. The GDPR has substantial penalties to deter non-compliance. The fine depends on the severity of the infringement but can be very significant.

Law Intro

1. Definition of Law

② Which of the following BEST defines law?

- a) A set of moral principles that guide individual behavior.
- b) Rules established by a governing authority that can be enforced and prosecuted.
- c) Traditions and customs followed by a community.
- d) Arbitrary commands issued by a powerful individual.

✓ Answer

b) Rules established by a governing authority that can be enforced and prosecuted. Law must have a legitimate source (the state), be enforceable, and carry consequences for violations.

2. Law vs. Technical Rules

② Building codes established by a professional engineering association are considered "law" in the same way as statutes passed by a parliament.

✓ Answer

False. While technical rules might be referenced or incorporated into law, they are not inherently law unless formally adopted through the legislative process. They lack the force of state authority and cannot be directly enforced by the government.

3. Structure of Law - Reading Legal Text

② In Austrian legal text, provisions within a numbered list (e.g., 1., 2., 3.) are interpreted as:

- a) Cumulative - all provisions must be met simultaneously.
- b) Alternative - meeting any one of the provisions is sufficient.
- c) Dependent - the provisions must be met in a specific order.
- d) Optional - the provisions can be ignored.

✓ Answer

b) Alternative - meeting any one of the provisions is sufficient. Numbered lists indicate options, while provisions within a paragraph (using parentheses) are cumulative.

4. Public vs. Private Law

② A dispute between two individuals over a breach of contract falls under:

- a) Public Law
- b) Private Law

- c) Criminal Law
- d) International Law

✓ **Answer**

b) Private Law. Private law governs relationships between individuals (or legal entities), while public law governs the relationship between individuals and the state.

5. Core Principle of Public Law

② Which principle BEST characterizes public law?

- a) Everything is permitted unless explicitly forbidden.
- b) Everything is forbidden unless explicitly permitted.
- c) The state has limited power to intervene in individual affairs.
- d) Individuals have the autonomy to negotiate the terms of their interactions with the state.

✓ **Answer**

b) Everything is forbidden unless explicitly permitted. Public law emphasizes the state's authority and the principle of legality – state actions must have a legal basis.

6. Tort Law and Damages

② "Casum sentit dominum" implies that:

- a) Individuals are always entitled to compensation for damages they suffer.
- b) The person causing harm is always liable for damages.
- c) Individuals generally bear the risk of their own losses, unless specific legal requirements for transferring liability are met.
- d) Punitive damages are commonly awarded in Austrian courts.

✓ **Answer**

c) Individuals generally bear the risk of their own losses unless specific legal requirements for transferring liability are met. This principle emphasizes individual responsibility for their own well-being and sets a higher bar for claiming damages from others.

7. Sources of Civil Law in Austria

② Austrian civil law is primarily based on:

- a) Common law principles derived from court decisions.
- b) A codified system of laws, with the General Civil Code (ABGB) as a central element.

- c) Religious doctrines and moral principles.
- d) Customary practices and traditions.

✓ **Answer**

b) A codified system of laws, with the General Civil Code (ABGB) as a central element. While court decisions play a role, Austria follows a civil law tradition with a strong emphasis on written legal codes.

8. EU Competences

② **In areas where the EU has "shared competence" with Member States:**

- a) The EU has exclusive power to legislate.
- b) Member States can only legislate if the EU chooses not to.
- c) Both the EU and Member States can legislate, but EU law takes precedence.
- d) Member States have exclusive power to legislate.

✓ **Answer**

c) Both the EU and Member States can legislate, but EU law takes precedence. Shared competence allows both levels of government to act, but EU law prevails in cases of conflict, ensuring the supremacy of EU law. However when the EU does not act, the Member States can. If the EU acted, Member States must withdraw their regulations.

9. EU Exclusive Competence - Example

② **Which policy area falls under the EXCLUSIVE competence of the European Union?**

- a) Education
- b) Healthcare
- c) The Common Commercial Policy.
- d) Criminal Justice

✓ **Answer**

c) The Common Commercial Policy. The EU has exclusive power to set trade policy with external countries, ensuring a unified approach in international trade negotiations and agreements. The other areas are primarily Member State responsibilities.

Liability and Tort Law

1. Fault-Based Liability - Harmonization

❓ **Fault-based liability rules are fully harmonized across all EU Member States.**

✓ **Answer**

False. While a basic principle of fault-based liability is generally recognized, the specific schemes and implementation details vary between Member States. There is no single, unified EU-wide system for fault-based liability.

2. Requirements for Fault-Based Liability in Austria

❓ **Which of the following is NOT a requirement for establishing fault-based liability under Austrian law?**

- a) Causation (Kausalität)
- b) Wrongfulness (Rechtswidrigkeit)
- c) Fault (Verschulden)
- d) Strict adherence to all technical standards, regardless of negligence.
- e) Compensable Damage (Schaden)

✓ **Answer**

d) Strict adherence to all technical standards, regardless of negligence. Fault-based liability focuses on intent or negligence, not on absolute compliance with every technical standard. While violating a technical standard might be evidence of negligence, it's not a requirement in itself. All the other options are core elements of fault-based liability.

3. Liability for Servants

❓ **An employer is ALWAYS liable for the harmful actions of their employees, regardless of the circumstances.**

✓ **Answer**

False. The employer is liable if the employee's actions were wrongful, faulty (negligent or intentional), and occurred within the scope of their employment. There are limitations, such as if the employee acted deliberately outside their duties.

4. Definition of Product Defect

❓ **A product is considered defective under product liability law if:**

- a) It breaks down after normal use.
- b) A newer, better product is released on the market.
- c) It does not provide the safety a person is entitled to expect, considering its presentation, intended

use, and the time it was put into circulation.

d) It is not aesthetically pleasing.

✓ **Answer**

c) It does not provide the safety a person is entitled to expect, considering its presentation, intended use, and the time it was put into circulation. The definition of a defect focuses on reasonable safety expectations, not on mere breakage, newer alternatives, or subjective aesthetic preferences.

5. Burden of Proof in Product Liability - Traditionally

② **In traditional product liability cases (before the recent directive), who bears the primary burden of proving the product's defect?**

- a) The producer
- b) The consumer (or injured party)
- c) The government
- d) An independent expert witness

✓ **Answer**

b) The consumer (or injured party). Traditionally, the claimant had to demonstrate the defect, the damage, and the causal link, often a significant hurdle. The new directive shifts some of this burden in specific situations.

6. New Product Liability Directive - Disclosure of Evidence

② **Under the new Product Liability Directive, national courts can compel the defendant (producer) to disclose evidence relevant to the case.**

✓ **Answer**

True. This provision aims to address the information asymmetry that often disadvantages claimants in complex product liability cases, especially those involving technically sophisticated products.

7. Product Liability - Development Risk Defense

② **A pharmaceutical company releases a new drug that, years later, is found to have a previously unknown side effect. Can the company be held liable under product liability law? What defense might they use?**

✓ **Answer**

Potentially, but the company could invoke the "development risk" defense. If they can prove that the side effect was scientifically and technically unknowable at the time of the drug's release, they might be exempt from liability. This defense is particularly relevant for innovative products where unknown risks might exist.

8. Liability for AI Systems - New Directive

🕒 **Under the proposed AI Liability Directive, who could potentially be held liable for harm caused by a high-risk AI system? (Select all that apply)**

- a) The AI system itself.
- b) The provider of the AI system.
- c) The user of the AI system.
- d) The distributor of the AI system.

✓ **Answer**

b) The provider of the AI system.
c) The user of the AI system. The directive focuses on holding both providers (for defects and failures to provide information) and users (for misusing the system or not following instructions) accountable. AI systems themselves cannot be legal persons and therefore not liable. Distributors are generally not liable under this directive (but might be under the Product Liability Directive).

9. Strict Liability - Railways and Motor Vehicles

🕒 **Strict liability for motor vehicle accidents means that:**

- a) The driver is always at fault, regardless of the circumstances.
- b) The owner of the vehicle is always liable, even if they were not driving.
- c) Liability is based on intent or negligence, as in fault-based liability.
- d) The keeper of the vehicle (registered owner) is liable for accidents, even if caused by another driver, unless an inevitable event occurred despite the highest standard of care and absence of vehicle defects.

✓ **Answer**

d) The keeper of the vehicle (registered owner) is liable for accidents, even if caused by another driver, unless an inevitable event occurred despite the highest standard of care and absence of vehicle defects. Strict liability imposes liability based on the inherent risk of the activity (driving), not on personal fault. It creates a strong incentive for safety and ensures compensation for victims.

10. AI Liability Directive - Causal Link Presumption

② The proposed AI Liability Directive makes it easier to establish a causal link between an AI system's output and harm by:

- a) Requiring the AI system to explain its reasoning process.
- b) Allowing courts to presume a causal link if it's reasonably likely the AI system contributed to the harm, especially if the defendant fails to disclose evidence or violated the AI Act's requirements.
- c) Shifting the entire burden of proof to the defendant in all cases.
- d) Introducing a no-fault liability regime for all AI systems.

✓ Answer

b) Allowing courts to presume a causal link if it's reasonably likely the AI system contributed to the harm, especially if the defendant fails to disclose evidence or violated the AI Act's requirements. This presumption facilitates claims in situations where proving a direct causal link is difficult due to the complexity of AI systems. It incentivizes transparency and compliance with the AI Act. It does not introduce a no-fault regime for all AI. Explainability is a separate issue.

Road Traffic Regulations on Autonomous Driving

1. International Convention and Definition of Driver

② According to the 1968 Vienna Convention on Road Traffic, can an automated driving system be considered the "driver" of a vehicle?

✓ Answer

False. The convention explicitly defines the driver as a human being. While amendments are being considered, the current convention requires a human driver. This is a key challenge for fully autonomous driving.

2. Harmonization of Autonomous Driving Regulations in the EU

② Regulations for autonomous driving (e.g., permitted levels of automation) are fully harmonized across all EU Member States.

✓ Answer

False. While there are some harmonized aspects like type approval for certain systems, the overall regulations for autonomous driving (e.g., allowing Level 3 vs. Level 4) vary significantly between Member States. Each country has its own approach to testing and deployment. This fragmentation creates challenges for cross-border operation of autonomous vehicles.

3. Harmonized Aspects of Vehicle Regulations in the EU

🕒 Which aspect of vehicle regulations IS harmonized at the EU level?

- a) Permitted levels of autonomous driving for public roads.
- b) Type approval requirements for certain automated driving systems.
- c) The process for obtaining driver's licenses for autonomous vehicles.
- d) Insurance requirements specific to autonomous vehicles.

✓ Answer

b) Type approval requirements for certain automated driving systems. Regulation (EU) 2019/2144 sets common standards for specific systems in automated vehicles, ensuring a minimum level of safety and interoperability across the EU. This applies to things like automated lane keeping systems or emergency braking systems, but not the overall approval for a fully autonomous vehicle to operate on public roads.

4. Autonomous Driving - Current Status in Austria

🕒 What is the current legal status of Level 4 autonomous driving in Austria (as of your notes)?

- a) Fully permitted on all public roads.
- b) Permitted only for testing purposes with strict conditions.
- c) Completely prohibited.
- d) Permitted only in designated zones or specific routes.

✓ Answer

b) Permitted only for testing purposes with strict conditions. The notes indicate that Level 3 is allowed for testing, implying even stricter limitations or a complete prohibition on Level 4 at that time. Always consult the most up-to-date legal sources.

5. Liability for Autonomous Driving Accidents

🕒 Who is typically held liable in accidents involving autonomous vehicles in Austria?

- a) The software developer of the autonomous driving system.
- b) The manufacturer of the vehicle.
- c) The keeper of the vehicle.
- d) No one, as autonomous vehicles are considered inherently safe.

✓ Answer

c) The keeper of the vehicle. Strict liability principles, as applied to traditional vehicles, generally extend to autonomous vehicles. The keeper is liable, even if the human driver was not actively

controlling the vehicle at the time of the accident, subject to certain exceptions like proving an inevitable event. This is a complex area, and legal interpretations may evolve.

6. Vienna Convention and Autonomous Driving - Potential Conflict

- ② How does the 1968 Vienna Convention on Road Traffic potentially conflict with the development of fully autonomous driving? Explain briefly.

✓ Answer

The convention requires a human driver to be in control of the vehicle. This directly conflicts with the concept of Level 5 autonomous driving, where the system is fully responsible for all driving tasks and a human driver is not required (or even might not be present). This legal discrepancy needs to be resolved through international agreements to enable the widespread deployment of fully autonomous vehicles.

7. Impact of Strict Liability on Autonomous Driving Insurance

- ② Does the application of strict liability to autonomous driving accidents simplify or complicate the issue of insurance? Explain your reasoning.

✓ Answer

It could potentially complicate insurance. While strict liability clarifies who is initially responsible (the keeper), it doesn't solve the complex question of how to allocate risk and determine premiums when a human driver may not be directly at fault. Issues like software errors, cybersecurity vulnerabilities, and interactions with other road users create new challenges for insurers in assessing and pricing risk. It might lead to higher premiums for autonomous vehicles or even make it harder to get insurance. This is an evolving area that insurers are still grappling with.

Old Exam

The answers in this section are AI based and might therefore be wrong.

Frage 1 - AI Regulation - High-Risk AI Systems

- ② OLD EXAM: Which are specific compliance requirements relating to high-risk AI systems? Tick all the correct answer.

- a) They must provide instructions for use (in particular regarding capabilities, characteristics, performance limits, information on the interpretation of the result).
- b) They must be openly released under a public domain license to ensure full transparency of their source code.
- c) They are required to keep comprehensive technical documentation that demonstrates the AI

system's compliance with the Regulation (e.g., on data sets, development processes, and performance metrics).

d) They must establish and maintain a risk management system that spans the AI system's lifecycle, essentially identifying and assessing risks and taking risk management measures.

✓ **Answer: High-risk AI systems have extensive documentation, risk management, and transparency requirements. Open-sourcing is NOT mandatory. OLD EXAM**

- a)
- c)
- d)

Frage 2 - Private Law - Contracts and AI Systems

🔗 **OLD EXAM: What problems do you identify in concluding a contract by an AI system?**

- a) Due to the "black box effect" on an AI system, it is unclear who will be liable in case of unwanted results.
- b) Contracts can only be concluded in writing.
- c) It is legally forbidden to use AI systems for concluding contracts.
- d) Due to the "black box effect" of an AI system, it might be unclear who will be the parties to that contract.

✓ **Answer: The "black box" nature of AI can make it difficult to determine liability and contractual parties, raising issues of accountability and enforceability.**

- a)
- d)

Frage 3 - AI Regulation - Prohibited AI Practices

🔗 **OLD EXAM: Which of the following categories may encompass prohibited artificial intelligence techniques under the European AI Act? Tick all the correct answers.**

- a) AI systems that derive emotions from people in the workplace and educational institutions.
- b) Publication of targeted job advertisements, analysis and filtering of applications and evaluation of applicants for employment.
- c) AI systems for the targeted dissemination of disinformation and propaganda.
- d) Targeted manipulation of content in social media to pursue political or commercial goals, resulting in a possible aggravation of an existing addiction of a person.

✓ **Answer: These practices are considered to pose unacceptable risks to fundamental rights or safety. Targeted job ads are not prohibited, but may be subject to other regulations.**

- a)
- c)

d)

Frage 4 - Legal Basics - Definition of Law

🕒 **OLD EXAM: Which statements are true? Tick all the correct answers.**

- a) Only rules that have passed a formal legislative procedure can be law.
- b) Social rules that have not passed a formal legislative procedure can be law if they are followed by everyone.
- c) Moral rules usually cannot be considered as binding law.
- d) Technical standards exceed the status of a "guideline" and therefore have the same quality as "law".

✓ **Answer: Law requires a formal legislative process and state authority. Social or moral rules, and technical standards, lack these qualities. OLD EXAM**

- a)
- c)

Frage 5 - EU Law - Legislative Acts

🕒 **OLD EXAM: The most important legislative acts issued by the European Union are called:**

- a) Orders and threats
- b) Sections and paragraphs
- c) Regulations and directives
- d) Wishes and good hopes

✓ **Answer**

- c) Regulations and directives are the primary forms of EU legislation.

Frage 6 - Private Law - Product Liability and Damages

🕒 **OLD EXAM: Imagine, your iPhone catches fire. What damages would the producer be liable for (either in full or in part)? (tick all the correct answers)**

- a) Your iPhone that had cost you € 500 is worthless (because it is burnt)
- b) You burnt your hand and you need medical treatment
- c) You missed a call by the moderator of a TV show. Had you picked up the phone, you would have won € 100.000,-.
- d) Your designer jacket (€ 1.200,-) is damaged

- ✓ **Answer: Product liability covers foreseeable damages caused by a defective product (phone and jacket damaged by the fire, injury from the fire). Lost profits (missed call) are generally not covered.**

- a)
- b)
- d)

Frage 7 - Private Law - Fault Liability Requirements

🔗 **OLD EXAM: Which of these does fault liability in Austria require? (tick all the correct answers)**

- a) Causal link
- b) Fault
- c) Wrongfulness
- d) Compensable damage

✓ **Answer: All four elements are essential for establishing fault-based liability.**

- a)
- b)
- c)
- d)

Frage 8 - Private Law - Online Contracts and Consumer Confirmation

🔗 **OLD EXAM: What does a consumer in the European Union need to confirm directly before placing his or her order? (tick the correct answer)**

- a) His or her obligation to pay.
- b) Whether he or she is an AI system or a human.
- c) Nothing at all.
- d) What he or she intends to do with the goods.

✓ **Answer**

- a) Under the Consumer Rights Directive, consumers must explicitly acknowledge their payment obligation before completing an online purchase.

Frage 9 - Private Law - Valid Contract Formation

🔗 **OLD EXAM: By what means can two parties conclude a formally valid contract in Austria and many other continental European jurisdictions? (tick all the correct answers)**

- a) By clicking on buttons in an e-commerce store.
- b) By a written piece of paper.
- c) By an exchange of e-mails.
- d) By speaking to each other on the phone.

✓ **Answer: Contracts can be formed in various ways, generally requiring an offer and acceptance. While some contracts require specific forms (e.g., real estate), most can be concluded verbally, electronically, or in writing. (Note: certain exceptions exist).**

- a)
- b)
- c)
- d)

Frage 10 - GDPR - Data Protection Officer (DPO)

② **OLD EXAM: Which of the following statements about the Data Protection Officer (DPO) are true? Tick all the correct answers.**

- a) The DPO provides advice as regards the data protection impact assessment.
- b) The DPO only reports to his next supervisor, but never to the highest management.
- c) The DPO is independent from any orders from the management in connection with his duties.
- d) The designation of a DPO is mandatory if the core activities of the controller or the processor consist of processing operations which, by virtue of their nature, their scope and/or their purposes, require regular and systematic monitoring of data subjects on a large scale.

✓ **Answer: The DPO has a crucial, independent role in ensuring GDPR compliance. They advise on DPIAs, operate independently, and are mandatory for organizations engaging in large-scale data processing.**

- a)
- c)
- d)

Frage 11 - Private Law - Automated Contract Execution

② **OLD EXAM: What (legal) problems do you identify in executing a contract by automated means? (tick all the correct answers)**

- a) One party may have changed their mind and not want the contract to be executed.
- b) Consumers could have withdrawal rights.
- c) This will be technically infeasible.
- d) The contract might be invalid.

- ✓ **Answer: All options present potential legal challenges. Automated execution must respect withdrawal rights, ensure informed consent, be technically feasible, and result in a valid contract.**

- a)
- b)
- d)

Frage 12 - AI Regulation - General Purpose AI Model

② **OLD EXAM: Which statement of a General Purpose Risk AI Model is true? Tick the correct answer.**

- a) Once a GPAI is placed on the market (e.g. published in a library or via an API), it is never subject to further compliance requirements – even if it evolves into a more complex version.
- b) GPAI are treated exactly the same as AI Systems with limited risks, meaning they share all the same obligations without distinction.
- c) GPAI that are powerful or widespread AI systems, e.g., GPAI, which have been trained with a total computing power of more than 10^{25} FLOPs, are considered GPAI that pose systemic risks. Additional compliance obligations for providers apply.
- d) Unlike AI systems, providers of a GPAI do not need to make available any documentation.

✓ **Answer**

- c) Powerful GPAIs are recognized as potentially posing systemic risks and have additional obligations under the AI Act.

Frage 13 - EU Law - Recent AI Proposals

② **OLD EXAM: The European Commission has presented two new proposals on liability and the use of AI recently. What do they deal with? (tick all the correct answers)**

- a) AI-related questions of inheritance law.
- b) AI-related questions of contract law.
- c) The burden of proof regarding damages and causal link for damage claims.
- d) AI-related questions of product liability.

✓ **Answer: The proposals address AI liability and product liability, aiming to adapt legal frameworks to the specific challenges posed by AI.**

- c)
- d)

Frage 14 - Private Law - Liability for Autonomous Vehicle Accidents

OLD EXAM: Imagine a fully autonomous vehicle causing an accident. Who of these could be
② liable for the damage caused, even without being at fault, under Austrian law? (tick all the correct answers)

- a) The producer
- b) The driver
- c) The registered keeper
- d) The driver's mother

✓ **Answer:** Under strict liability principles, the producer (for product defects) and the registered keeper can be liable. In a fully autonomous scenario, the concept of "driver" might not even apply. (Note: the new Product Liability Directive might affect who is liable, especially in the case of substantial modifications or when putting a brand on a product)

- a)
- c)

Frage 15 - GDPR - Special Categories of Personal Data

② Which of the following is considered a special category of personal data under the GDPR? Tick all the correct answers.

- a) A list of past diseases a person suffered from.
- b) The skin color of a person.
- c) A fingerprint scan of a person used for authentication.
- d) The trade union membership of a person.

✓ **Answer:** These are all considered sensitive data requiring explicit consent for processing.

- a)
- b)
- c)
- d)

Frage 16 - GDPR - Data Transfers and Controller/Processor Roles

OLD EXAM: BrightMinds LLC, headquartered in Spain, has developed a popular AI-driven web service provided on a subscription basis. Instead of using its own servers, BrightMinds relies on those operated by CloudLink Ltd, located in Poland, to store the data required for its
② service. When users access BrightMinds' web platform, it automatically loads an additional plugin from GlobalMedia Inc, a company established in Vietnam—thus transmitting visitors' IP addresses to servers in Vietnam. Based on this scenario, which of the following statements are true? Tick all the correct answers.

- a) Because Poland is treated as a third country, transferring data there constitutes a data export.
- b) BrightMinds LLC can be considered the controller, while CloudLink Ltd acts as the processor.
- c) Given that Vietnam is regarded as a third country, sending user IP addresses to Vietnam qualifies as

a data export.

d) Since BrightMinds LLC and CloudLink Ltd are both located in the EU, no Article 28 GDPR data processing agreement is necessary.

✓ **Answer: Poland is within the EEA, not a third country. A data processing agreement is needed between BrightMinds and CloudLink. Transferring data to Vietnam is a data export. (Note: Check updated regulations on data transfers within the EEA).**

b)

c)

Frage 17 - GDPR - Scope of Application

🕒 **OLD EXAM: The GDPR applies to... (Tick all the correct answers)**

a) The processing of personal data of deceased persons.

b) The processing of personal data wholly or partly by automated means.

c) The processing other than by automated means of personal data which form part of a filing system or are intended to form part of a filing system.

d) The processing of anonymized data.

✓ **Answer: The GDPR applies to both automated and manual processing if it's part of a filing system. It does NOT apply to data of deceased persons or truly anonymized data.**

b)

c)

Frage 18 - GDPR - Minimum Contracts Principle

🕒 **OLD EXAM: What is meant by the "minimum contracts principle"? Tick the correct answer.**

a) The principle that personal data must be collected from the smallest possible number of individuals.

b) The principle that any data processing contract or arrangement with external providers is limited to what is strictly necessary for the lawful and intended processing of personal data.

c) The principle that all data processing agreements are automatically terminated after a fixed period, regardless of ongoing need.

d) The principle that the GDPR may be applicable under certain circumstances even if the controller processing such data is located outside the European Union.

✓ **Answer: It refers to both limiting data processing to what is strictly necessary (data minimization) AND the extraterritorial reach of the GDPR based on activities targeting EU data subjects.**

- b)
- d)

Frage 19 - AI Regulation - Deepfakes

🔗 **OLD EXAM: Which statements about deepfakes are true under the European AI Act? Tick all the correct answers.**

- a) Under no circumstances can individuals or organizations be held liable if they disseminate unlabeled deepfake content to the public.
- b) There is no requirement in the draft AI Regulation to inform users that they are interacting with synthetic content.
- c) The regulation places specific obligations on developers of AI systems that generate or manipulate images, audio, or video in a way that can deceive or mislead individuals.
- d) Under the AI Act, providers of deepfake technology must ensure transparency by clearly disclosing that the content is artificially generated, subject to certain exceptions (e.g. law enforcement).

✓ **Answer: The AI Act focuses on transparency obligations for deepfakes, requiring disclosure of artificially generated content. Disseminating deepfakes can lead to liability, depending on the context and intent.**

- c)
- d)

Frage 20 - EU Law - Harmonized Rules

🔗 **OLD EXAM: Which of these is governed by a harmonized set of rules within the 27 Member States of the European Union?**

- a) Contract Law.
- b) Product Liability.
- c) Fault Liability.
- d) Property Law.

✓ **Answer: Product liability is harmonized through EU directives. Contract law, fault liability, and property law are generally subject to national laws, with some EU influence in specific areas.**

- b)

Challenging Questions

1. AI Systems and Contract Formation

② **An autonomous AI system enters into a contract with a human. Which legal argument BEST supports the validity of this contract under current EU law?**

- a) AI systems have inherent legal personality and can therefore enter into contracts independently.
- b) The contract is valid if the AI system operated within pre-programmed parameters set by a human, effectively acting as an agent.
- c) Contracts with AI systems are always void as machines lack the capacity for contractual intent.
- d) The validity depends solely on whether the contract is beneficial to the human party.

✓ **Answer**

b) This reflects the current legal understanding where AI systems lack independent legal personality but can act as tools within human-defined parameters. This is a complex area, and the law is still evolving.

2. GDPR and Data Scraping

② **A researcher scrapes publicly available data from a social media platform to train an AI model for sentiment analysis. Which statement regarding GDPR compliance is MOST accurate?**

- a) The GDPR does not apply as the data is publicly available.
- b) The GDPR applies, but consent is automatically implied since the data is public.
- c) The GDPR applies; the researcher must ensure the original purpose of the data collection is compatible with their research purpose and respect any terms of service of the platform.
- d) The GDPR only applies if the researcher identifies specific individuals in the dataset.

✓ **Answer**

c) Public availability does not exempt data from GDPR. The researcher must consider the original purpose and any platform restrictions.

3. Interplay of AI Act and Product Liability Directive

② **A high-risk AI system malfunction causes physical harm. Which legal instrument is MOST directly relevant in determining the liability of the AI system's provider?**

- a) The GDPR, as the incident likely involved processing personal data.
- b) The AI Act, as it sets specific requirements for high-risk AI systems. However, it does not regulate liability.
- c) The Product Liability Directive, as the AI system could be considered a defective "product."
- d) Both b) and c), as they create a combined framework for liability.

✓ **Answer**

d) Both the AI Act (by setting safety standards) and the Product Liability Directive (by defining defectiveness) contribute to the liability framework, but none on its own is sufficient.

4. Autonomous Driving and the Vienna Convention

② To enable the legal operation of Level 5 autonomous vehicles internationally, what is the MOST crucial legal step regarding the 1968 Vienna Convention on Road Traffic?

- a) Individual countries must amend their national traffic laws.
- b) A formal amendment to the Convention is required, redefining the concept of "driver."
- c) The Convention needs to be completely rewritten to address autonomous driving.
- d) No action is needed; the Convention's flexibility allows for technological advancements.

✓ Answer

b) An international treaty requires formal amendment by the signatory parties to change its core provisions, such as the definition of "driver".

5. Data Protection and AI System Development

② At which stage of AI system development do GDPR principles of Privacy by Design and Default become MOST relevant?

- a) Only during the deployment phase, when the system interacts with real-world data.
- b) Primarily during the training phase, focusing on data quality and bias.
- c) Throughout the entire lifecycle, from initial design to deployment and beyond.
- d) Only if the AI system processes special categories of personal data.

✓ Answer

c) Privacy by Design and Default are fundamental principles that should be integrated into every stage of development to ensure data protection is not an afterthought.

6. Strict Liability vs. Fault-Based Liability for AI

② Which liability regime would likely be MOST challenging for victims seeking compensation for harm caused by a complex, opaque AI system? Why?

- a) Strict liability, as it focuses on the harm caused, not on proving fault.
- b) Fault-based liability, as it requires demonstrating a causal link between a specific defect or negligent act and the harm, which can be difficult with complex AI.
- c) Both regimes are equally challenging.
- d) Neither regime applies to AI systems.

✓ Answer

b) Proving fault (negligence or intent) and establishing a clear causal link in the context of complex AI systems can be extremely difficult due to their "black box" nature and the involvement of multiple actors in their development and deployment.

7. GDPR's Extraterritorial Reach and AI Systems

② A company based outside the EU develops an AI system that analyzes the online behavior of EU citizens to personalize advertising. Which legal principle establishes the GDPR's jurisdiction in this case?

- a) The Establishment Principle, as the company is targeting EU citizens.
- b) The Minimum Contracts Principle, as the company's activities are directed towards offering services to (monitoring the behavior) of individuals in the EU.
- c) The Data Localization Principle, as the data subjects are located in the EU. (There is no such principle in GDPR)
- d) The GDPR does not apply in this scenario.

✓ Answer

b) The Minimum Contracts Principle extends the GDPR's reach to companies targeting EU citizens, even without a physical establishment in the EU.

8. Limitation Periods in Liability Cases

② An individual discovers harm caused by a defective product five years after the product was put into circulation but was unaware of the defect until then. The harm occurred two years ago. Under traditional product liability rules (before the new directive), can they still file a claim?

- a) Yes, they have three years from the date they discovered the harm to file a claim.
- b) No, the claim is time-barred as it exceeds the three-year limitation period.
- c) Yes, they have ten years from the date the product was put into circulation to file a claim.
- d) It depends on whether the producer acted intentionally.

✓ Answer

b) Traditionally, the three-year limitation period starts from the moment the claimant is aware of the damage, the defect, AND the producer's identity. However it's limited by absolute 10 year period. The new directive introduces nuances to this, but this question refers to the old rules.

9. AI Liability Directive and Burden of Proof

② The proposed AI Liability Directive aims to address which key challenge in proving liability for harm caused by AI systems?

- a) The difficulty of establishing a causal link between the AI system's actions and the harm.
- b) The lack of clear standards for determining the defectiveness of AI systems.
- c) The complexity of allocating responsibility among multiple actors involved in the AI system's lifecycle.
- d) All of the above.

✓ Answer

d) The directive tackles all these challenges by facilitating evidence disclosure, introducing presumptions of causality, and clarifying responsibilities.

10. Data Minimization and AI Training Data

② Which approach BEST aligns with the GDPR's principle of data minimization when training an AI model?

- a) Collect as much data as possible to maximize the model's accuracy.
- b) Use only synthetic data to avoid processing personal data altogether.
- c) Carefully select and limit the data collected to what is strictly necessary for the specific purpose of the AI model, ensuring data quality and anonymization where possible.
- d) Data minimization does not apply to AI training data.

✓ Answer

c) Data minimization requires limiting data collection to what is necessary and proportionate for the intended purpose, even in the context of AI training. Data quality and anonymization can help further reduce privacy risks.